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INTERNAL ANALYSIS 30060 – MANAGEMENT

Management Book – chapter 9

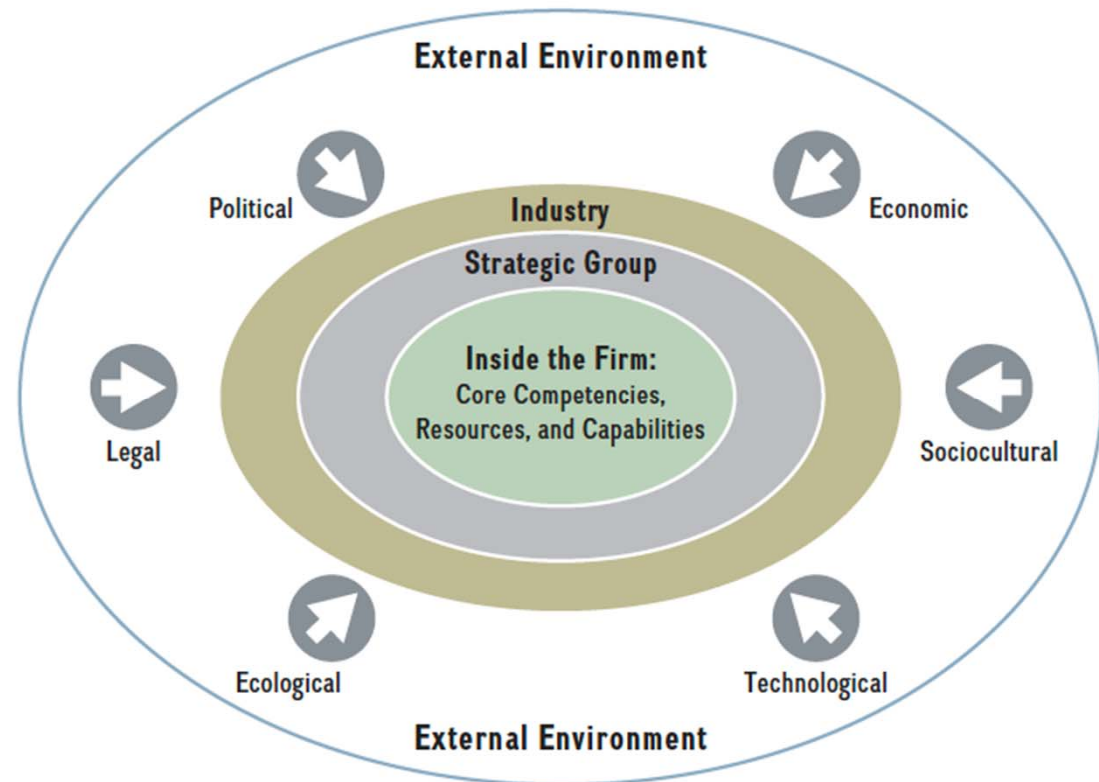
AGENDA

1. FIRM'S CORE COMPETENCIES
2. RESOURCE-BASED VIEW
3. VALUE CHAIN ANALYSIS
4. STRATEGIC ACTIVITY SYSTEMS
5. SWOT ANALYSIS
6. SUMMARY OF MAIN POINTS

What is inside the firm?

What is inside the firm?

Core competencies, resources, and capabilities are key to competitive advantage's creation and sustainability



1.0

FIRM'S CORE COMPETENCIES



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We define **CORE COMPETENCIES**

Core competencies allow firm's ability to gain and sustain competitive advantage by differentiating its products & services from rivals, creating higher value for the customer, and offering products at lower costs

Core competencies are unique strengths, embedded deep within the firm.

Five Guys Core competencies

WHAT IS FIVE GUYS?

Five Guys is an American fast casual restaurant chain focused on hamburgers, hot dogs and french fries
Approx. 1.7 bn USD turnover; employing more than 5,000 employees.

Core Competency

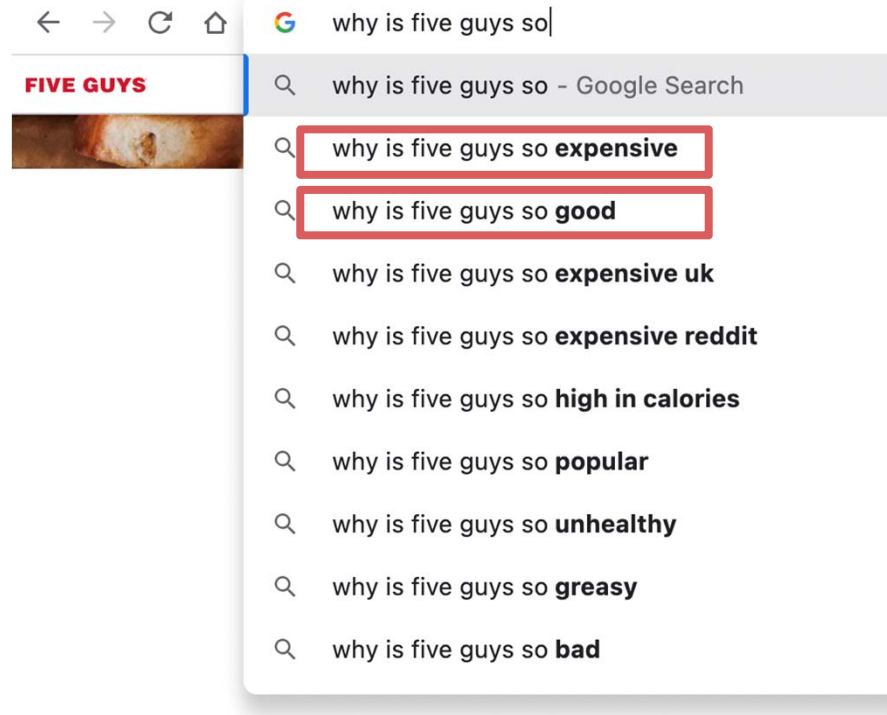
A superior ability to deliver fresh, customized hamburgers using only the highest quality ingredients

What Five Guys decided not to do:

- No Food Delivery (until the pandemic...)
- No Marketing Expenditures
- No Full menu



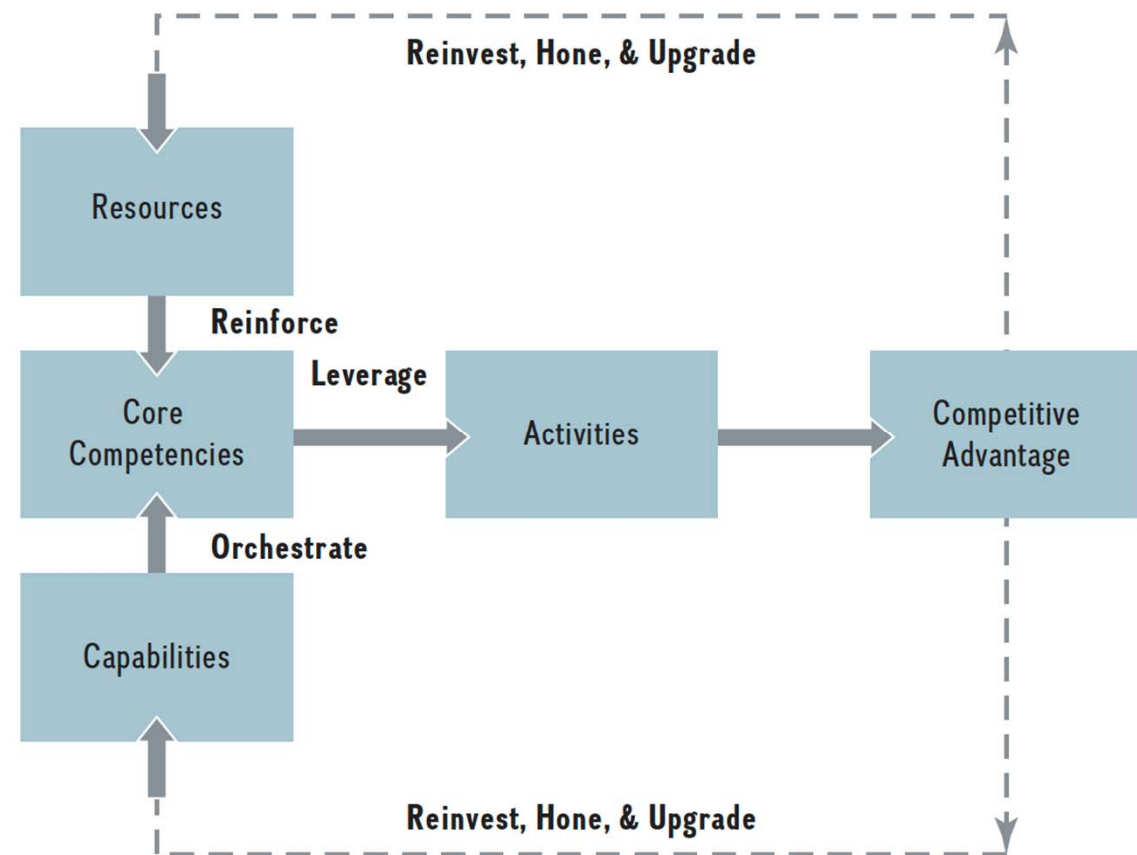
FIVE GUYS			
OPEN 7 DAYS A WEEK! -- ORDER ONLINE @ FIVEGUYS.COM			
BURGERS			
100% FRESH BEEF -- NO FILLERS OR PRESERVATIVES			
HAMBURGER	(240 Cal)	LITTLE HAMBURGER	(540 Cal)
CHEESEBURGER	(980 Cal)	LITTLE CHEESEBURGER	(610 Cal)
BACON BURGER	(920 Cal)	LITTLE BACON BURGER	(620 Cal)
BACON CHEESEBURGER	(1,060 Cal)	LITTLE BACON CHEESEBURGER	(690 Cal)
DOGS		SANDWICHES	
KOSHER STYLE HOT DOG	(520 Cal)	VEGGIE SANDWICH	(280 Cal)
CHEESE DOG	(590 Cal)	CHEESE VEGGIE SANDWICH	(420 Cal)
BACON DOG	(600 Cal)	GRILLED CHEESE	(470 Cal)
BACON CHEESE DOG	(670 Cal)	BLT	(600 Cal)
FRIES		MILKSHAKES	
FIVE GUYS STYLE or CAJUN STYLE		FIVE GUYS SHAKE	(670 Cal)
LITTLE	(530 Cal)	add Whip Cream	(20 Cal)
REGULAR	(950 Cal)		
LARGE	(1,310 Cal)		
Cooked in cholesterol free pure peanut oil			
DRINKS			
REGULAR	(0 - 360 Cal)		
LARGE	(0 - 520 Cal)		
BOTTLED WATER	(0 Cal)		
ALL MIX-INS FREE			
CALORIES ARE ADDED TO BASIC ITEM			
BACON	(80)	STRAWBERRY	(20)
VANILLA	(20)	SALTED CARAMEL	(45)
PEANUT BUTTER	(90)	COFFEE	(5)
CHERRY	(40)	MALTED MILK	(60)
CHOCOLATE	(40)	BANANA	(30)
OREO® CREME	(90)	OREO® COOKIE PIECES	(65)
ALL TOPPINGS FREE			
CALORIES ARE ADDED TO BASIC ITEM			
LETTUCE (5 Cal)	PICKLES (5 Cal)	TOMATOES (10 Cal)	GRILLED ONIONS (10 Cal)
MAYO (110 Cal)	MUSTARD (0 Cal)	GRILLED MUSHROOMS (20 Cal)	KETCHUP (30 Cal)
GREEN PEPPERS (5 Cal)	RELISH (15 Cal)	ONIONS (10 Cal)	JALAPEÑOS (5 Cal)
HOT SAUCE (0 Cal)	A.1.® STEAK SAUCE (15 Cal)	BAR-B-Q SAUCE (50 Cal)	
(ALL THE WAY receives only toppings in black)			



What is inside the firm?

Core competencies must be constantly nourished.

There may be invisible part of core competencies (i.e. intangible resources)



3 Key points

RESOURCES

Any assets that a firm can draw on when formulating or implementing a strategy

— Tangible & Intangible

CAPABILITIES

Organizational and managerial skills necessary to deploy a diverse set of resources

— Intangible

ACTIVITIES

Distinct and fine-grained business processes that enable firms to add incremental value by transforming inputs into goods and services

Some practical examples

Company	Core Competencies	Application Examples
	• Superior IT and AI capabilities • Superior customer service • Diversification across different industries • Establishing an ecosystem	• Online retailing • Full vertical integration • Cloud computing
	• Superior industrial design in integration of hardware and software • Superior marketing and retailing experience. • Establishing and maintaining an ecosystem of products and services	• Creation of innovative and category-defining mobile devices and software services
	• Superior marketing and distribution	• Leveraging one of the world's most recognized brands into a diverse lineup of soft drinks • Global availability of the product

2.0

RESOURCE-BASED VIEW



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RBV – Key assumptions

Internal resources are key to achieve and sustain competitive advantage

RESOURCE HETEROGENEITY

Bundles of resources, capabilities and competencies differ across firms.

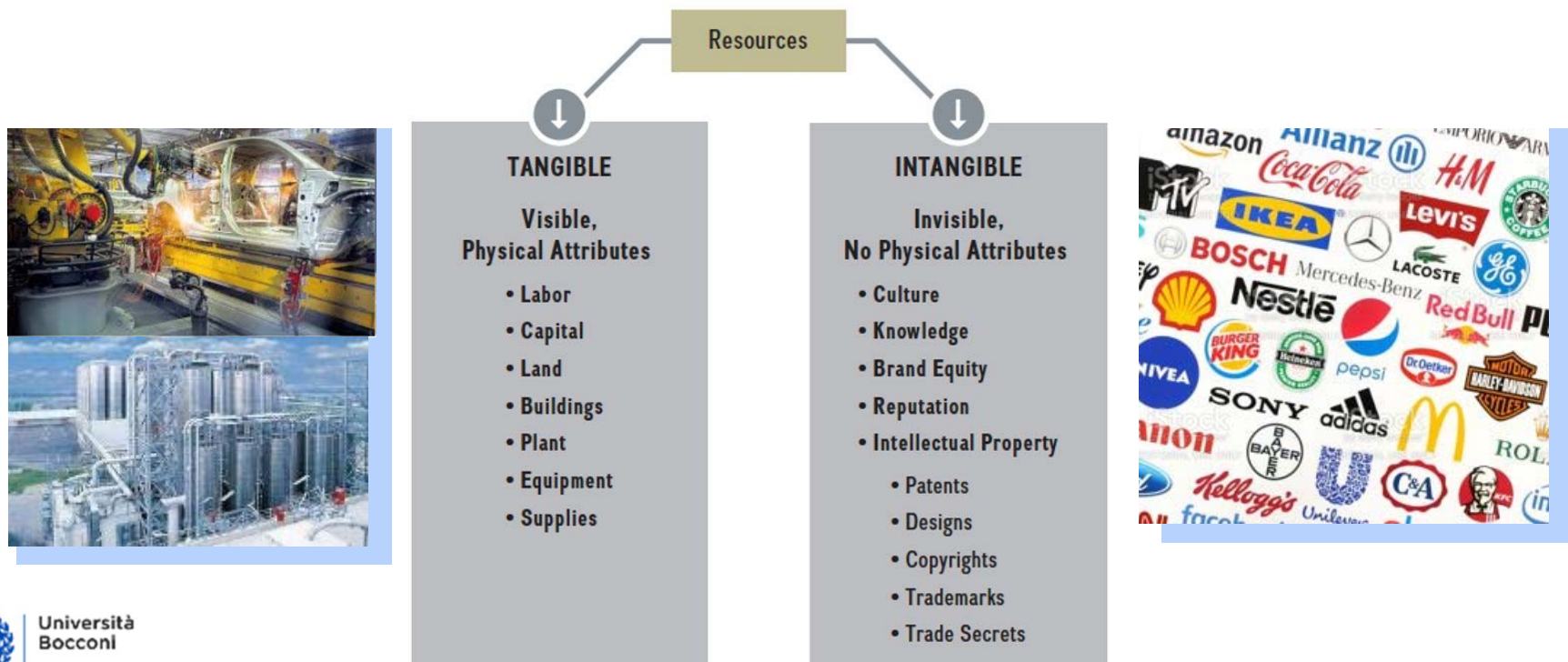
Application: Southwest Airlines and Alaska Airlines

RESOURCE IMMOBILITY

Resources do not move easily from firm to firm. “Stickiness”.

Application: Southwest Airlines and Continental/Delta

What are resources?



Physical Resources

Property, plants and equipment

- Typically acquired by firms at market prices

Heterogeneously distributed

- Firm location
- Geographic access to key inputs



Human Resources

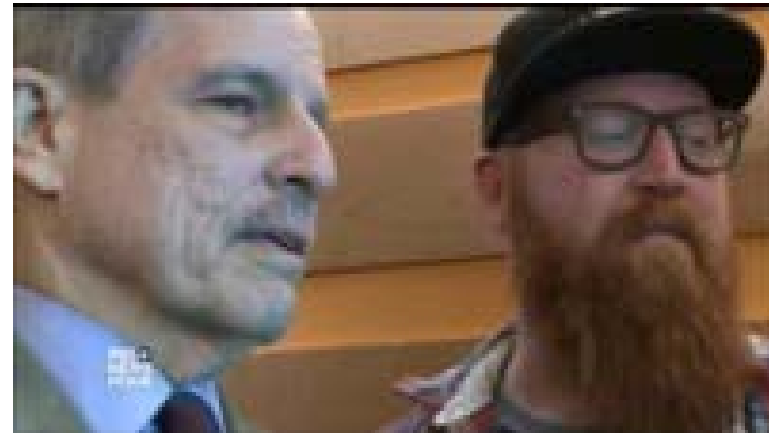
- Recruiting skills (i.e. Patagonia)
- Employee's specific knowledge, skills, experience...

We know hiring processes can seem overwhelming, but we don't want *you* to feel overwhelmed at Google. We want all candidates – from entry level to leadership – to have access to the same information and resources (after all, [our mission](#) is to organize the world's information and make it universally accessible and useful).

Google's hiring process is an important part of our culture. Googlers care deeply about their teams and the people who make them up. We also care about building a more representative and inclusive workplace, and that begins with hiring. In order to truly build for everyone, we know that we need a diversity of perspectives and experiences, and a fair hiring process is the first step in getting there.

Organizational/Intangible Resources

- Corporate cultures
idiosyncratic to firms and very
hard to imitate (i.e. organizational
culture at Zappos)
- Brand loyalty and reputation



The VRIO Framework

Valuable

Valuable resources enable a firm to increase its economic value creation ($V - C$)

Rare

If one or few firms possess it.

Costly to Imitate

If firms that do not possess the resource are unable to develop or buy the resource at a reasonable price.

- Direct Imitation
- Substitution

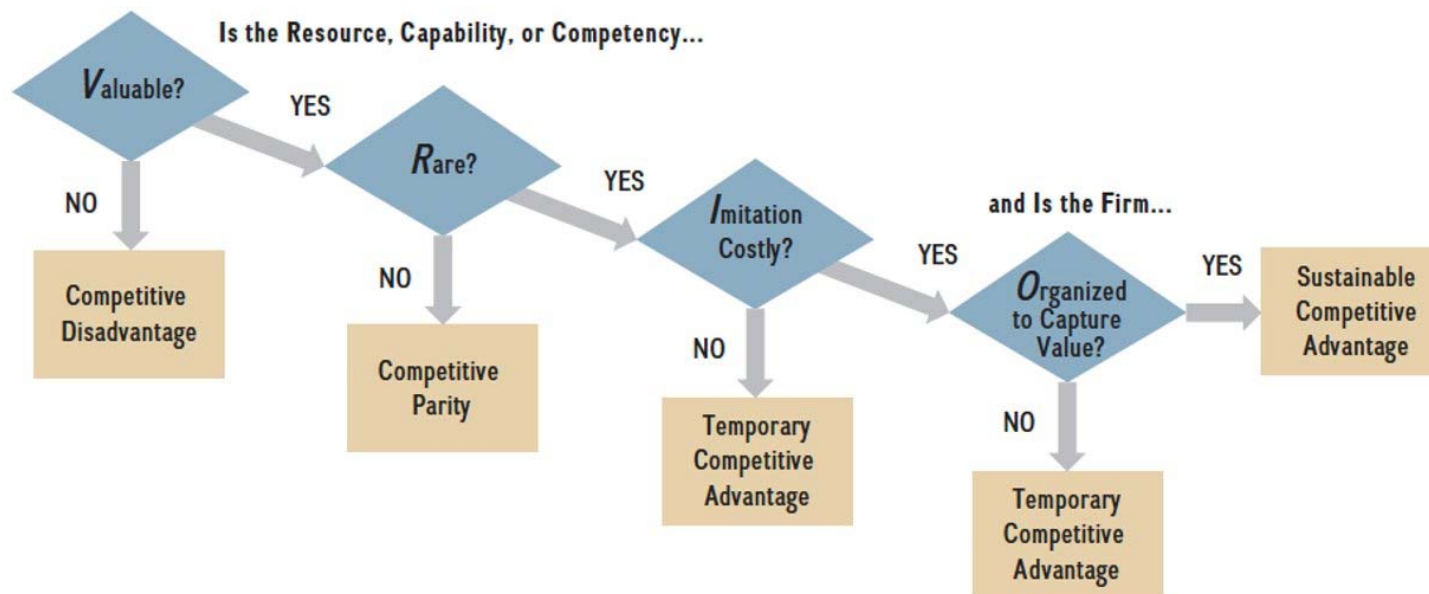
Organized to capture value

An effective organizational structure and coordinating systems.

The story of XEROX Parc and Apple



VRIO and Competitive Advantage



The case of Google: data-based human capital management

VALUABLE



Google use data-based HCM to hire and retain innovative and productive employees

RARE



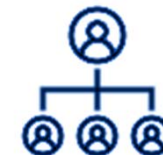
Extensive use created unique dataset

INIMITABILITY



Costly and difficult to imitate

ORGANIZATION



IT, HR and team leaders have the necessary skills

How to sustain a Competitive Advantage?

Several conditions allow firms to protect their resources, competencies and capabilities.

BETTER EXPECTATIONS OF FUTURE RESOURCE VALUE

If better expectations can be systematically repeated over time, a firm develop a Sustainable Competitive Advantage

INTELLECTUAL PROPERTY PROTECTION

- Patents: Bio/Pharmaceutical firms
- Design
- © Copyrights: singers, writers
- ™ Trademarks: brands
- Trade secrets: Coca-Cola, Ferrero (Nutella)

How to sustain a Competitive Advantage?

SOCIAL COMPLEXITY

Different social and business systems interact and are combined

At Zappos, you must consider together organizational culture, reverse social engineering and the industry.

CAUSAL AMBIGUITY

Cause and Effect of the phenomenon are not apparent

It is very difficult to pinpoint the sources of Apple's success:

Steve Jobs? Tim Cook?

Timing? Rare skills?

A combination of them?

PATH DEPENDENCE

Decisions made in the past limit the options one faces. Time compression diseconomies make difficult for rivals to replicate a resource quickly.

GM lost the advantage acquired in 1990s in electric cars since it changed strategy, while Toyota continued to invest in electric cars having 30 years later a competitive advantage.

Read this article



Business

Feb 29th 2020 edition >

Industrial light and magic

How ASML became chipmaking's biggest monopoly

A low-key Dutch company has cornered a critical link in the global electronics supply chain

VELDHOVEN



ASK PEOPLE to pinpoint the centre of the digital economy and many will finger Silicon Valley, populated by Apple, Google, Facebook and too many sexy startups to count. Others may nod at the area around Seattle, where Amazon and Microsoft are based. Some could suggest Shenzhen, China's technology hub. Few would point to a nondescript suburb of Eindhoven, the Netherlands' fifth-biggest city. Yet on closer inspection, the case for Veldhoven looks compelling. It is home to ASML, the world's sole manufacturer of the most advanced equipment critical to modern chipmaking. If chips make the world go round, ASML may be the closest the multi-trillion-dollar global tech industry has to a linchpin.

Let's apply the VRIO framework

What's the resource on which ASML's competitive advantage is based?	
Is this resource VALUABLE? Why?	
Is this resource RARE? Why?	
Is this resource COSTLY TO IMITATE? And what are barriers to imitation that protect it?	
Is this resource ORGANIZED? Why?	



Let's apply the VRIO framework

What's the resource on which ASML's competitive advantage is based?	Extreme ultraviolet (EUV) light technology to etch integrated circuits onto silicon wafers.
Is this resource VALUABLE? Why?	Yes. It allows the etching of smaller components than previous technology (Deep ultraviolet).
Is this resource RARE? Why?	Yes. ASML is the monopolist of this technology.
Is this resource COSTLY TO IMITATE? And what are barriers to imitation that protect it?	Yes. Path dependence/time compression diseconomies: it took twenty years to arrive at the technology and cannot be replicated quickly. Better expectations: ASML invested in the technology before the others. Trade secrets: ASML tries to protect the technology from industrial espionage.
Is this resource ORGANIZED? Why?	Yes. ASML is the manufacturer of the equipment and receive funding from customers to develop further research.

3.0

THE VALUE CHAIN

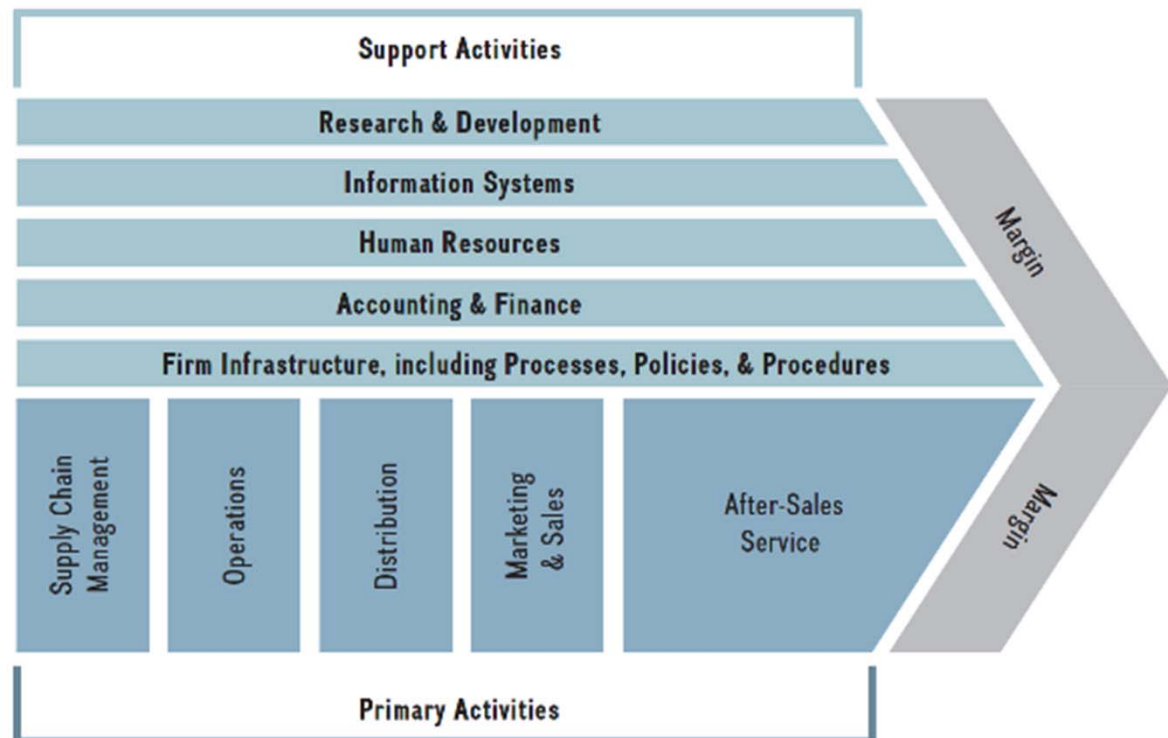


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The Value Chain

The internal activities a firm engages in when transforming inputs into outputs.

Each activity adds incremental value and incremental costs.



What are Five Guys' primary activities?

FIVE GUYS: primary activities



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STRATEGIC ACTIVITY SYSTEMS



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Strategic Activity Systems

- Firm as a network of interconnected activities that can be the foundation of its competitive advantage
- Hard to imitate
- Evolve over time if a firm is to sustain its competitive advantage
- In response to changing environments, firms need to upgrade value creating activities and adapt their activity systems

Strategic Activity Systems: Vanguard Group

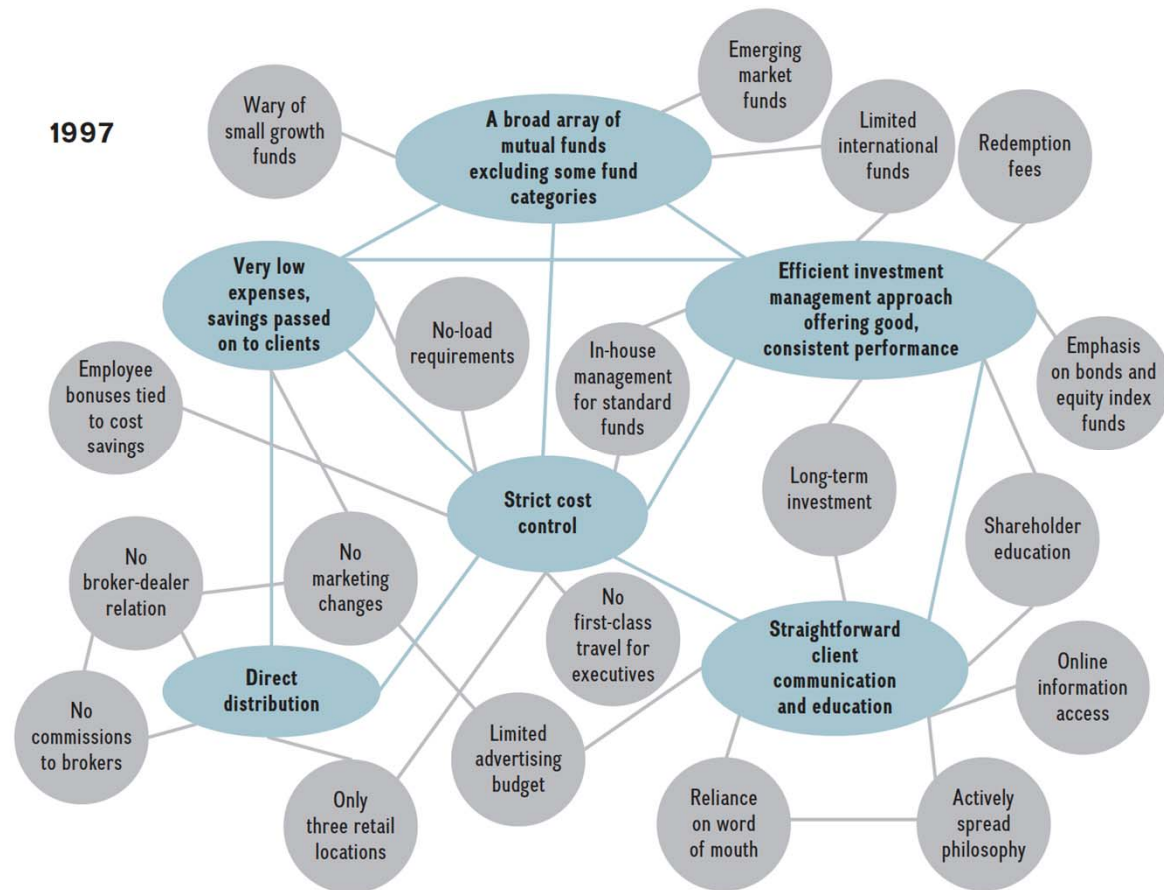
- One of the largest investment companies in the world
- **Clients:** individual investors, financial professionals, institutional investors
- **Mission:** help clients reach their financial goals by being their highest-value provider of investment products and services
- Founded in 1992, Vanguard provides low-cost investing and quality services for its clients
- Vanguard's strategic activity system needed to evolve over time as the company grew and market conditions changed (i.e. introduction of a new core activity: customer segmentation)



The Vanguard Group Example: 1997

Vanguard had less than 500\$ billion assets under management

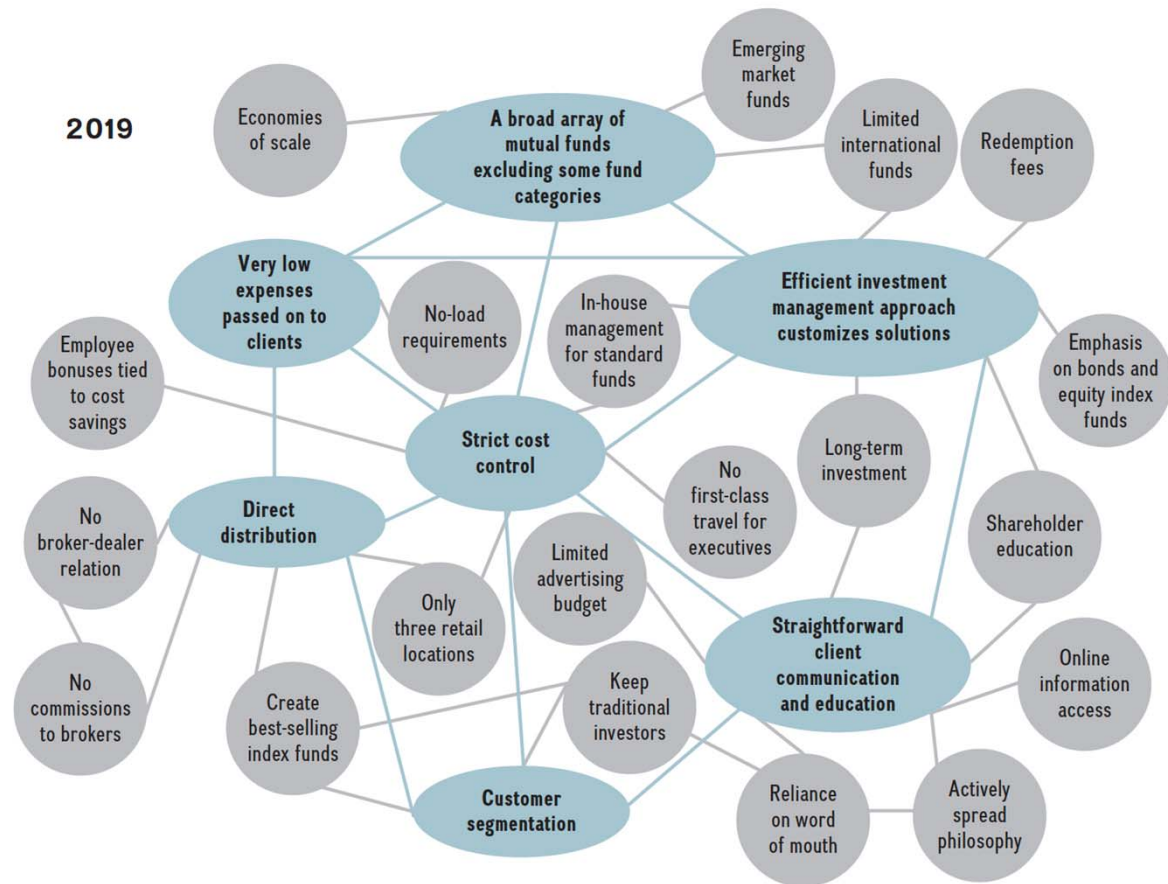
Highest-value provider of investment products through its interconnected activities.



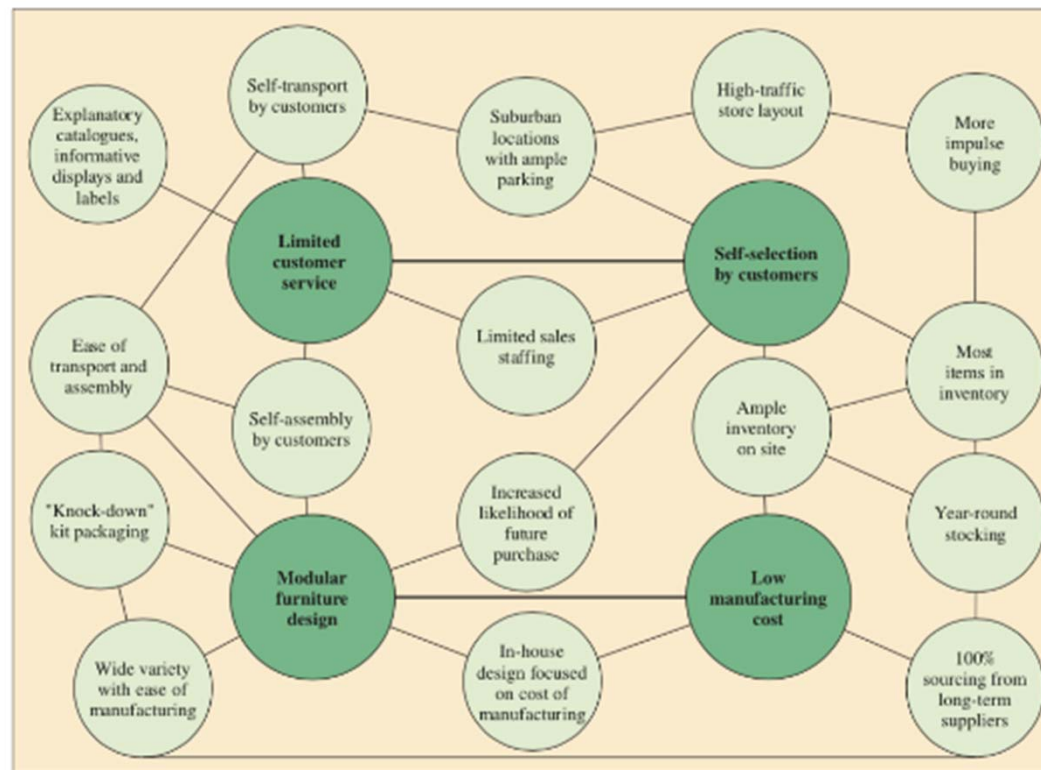
The Vanguard Group Example: 2019

Vanguard had 5\$ trillion (x10 times 1997) assets under management

Customers have changed, so Vanguard added a new core activity: Customer Segmentation

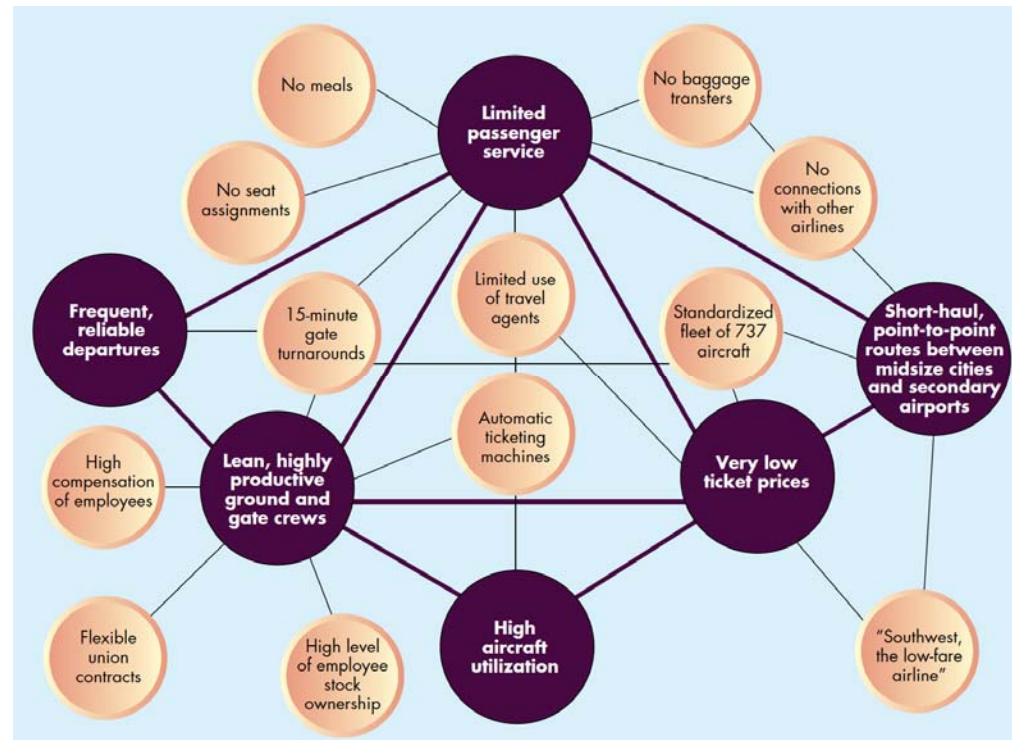


Strategic Activity Systems: Ikea in 1996



Source: M. Porter (1996), "What is Strategy?", *Harvard Business Review*.

Strategic Activity Systems: Southwest in 1996



Source: M. Porter (1996), "What is Strategy?", *Harvard Business Review*.

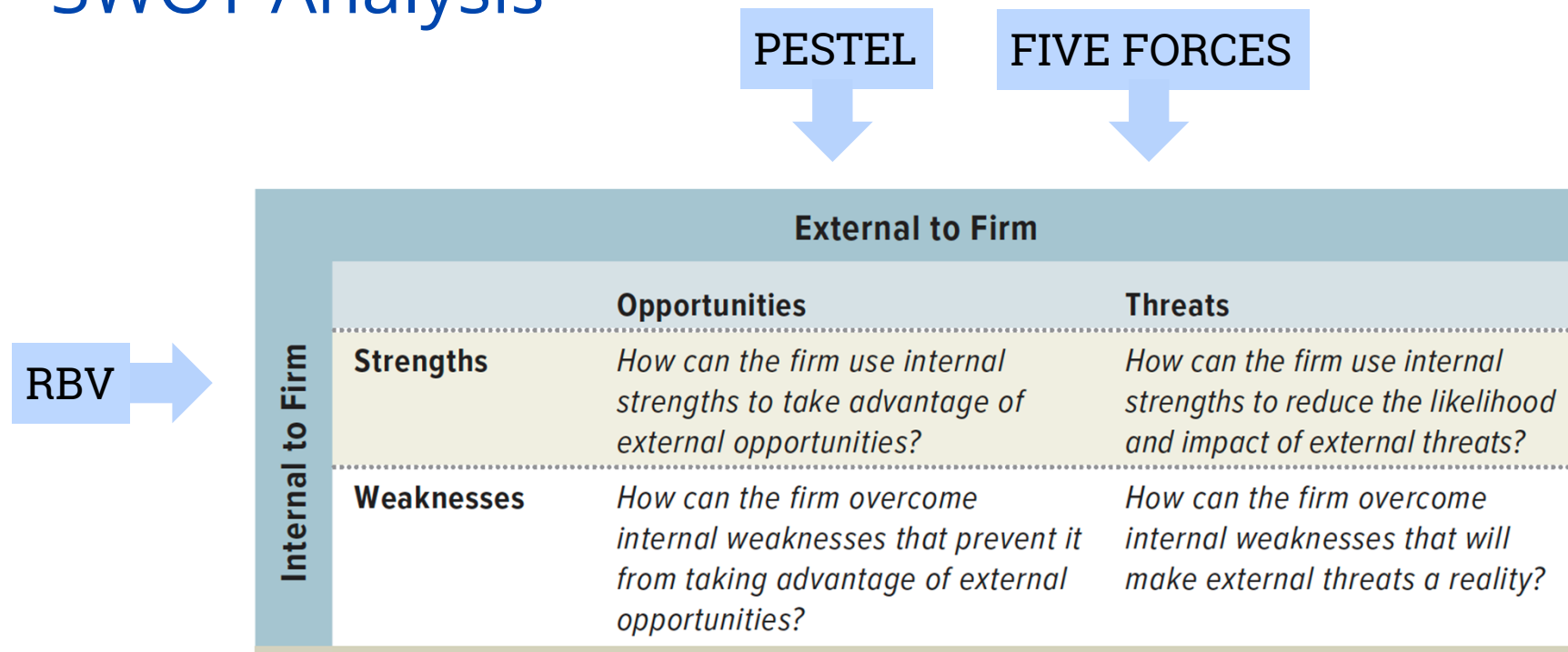
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SWOT ANALYSIS



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SWOT Analysis



SWOT Analysis

01

FOCUS ON THE STRENGTHS- OPPORTUNITIES

To derive «offensive» alternatives by using an internal strength to exploit an external opportunity.

02

FOCUS ON THE WEAKNESSES-THREATS

To derive defensive alternatives by eliminating or minimizing an internal weakness to mitigate an external threat.

03

FOCUS ON THE STRENGTHS-THREATS

To use an internal strength to minimize the effect of an external threat.

04

FOCUS ON THE WEAKNESSES - OPPORTUNITIES

To shore up an internal weakness to improve its ability to take advantage of an external opportunity.

Starbucks – SWOT Analysis



WHAT IS STARBUCKS

- American multinational chain of coffee houses and roastery
- Traded at Nasdaq stock market

OPERATING NUMBERS

2020: it operates in more than 30,000 locations worldwide, across 79 countries in 6 continents

FINANCIALS

- Revenue: 23.5 bn USD
- Net income: 928,300 USD

What are Starbucks' strengths, weaknesses, opportunities, and threats?

SWOT Analysis: Starbucks

STRENGTHS

- Very profitable organization
- Premium brand, strong brand recognition
- Worldwide presence (in all continents)
- Great supply chain
- Atmosphere in Starbucks locations (comfy and urban)

WEAKNESSES

- Products not customized to local tastes (coffees are the same in every country)
- Too expensive for many customers (on average a coffee costs 3euro)

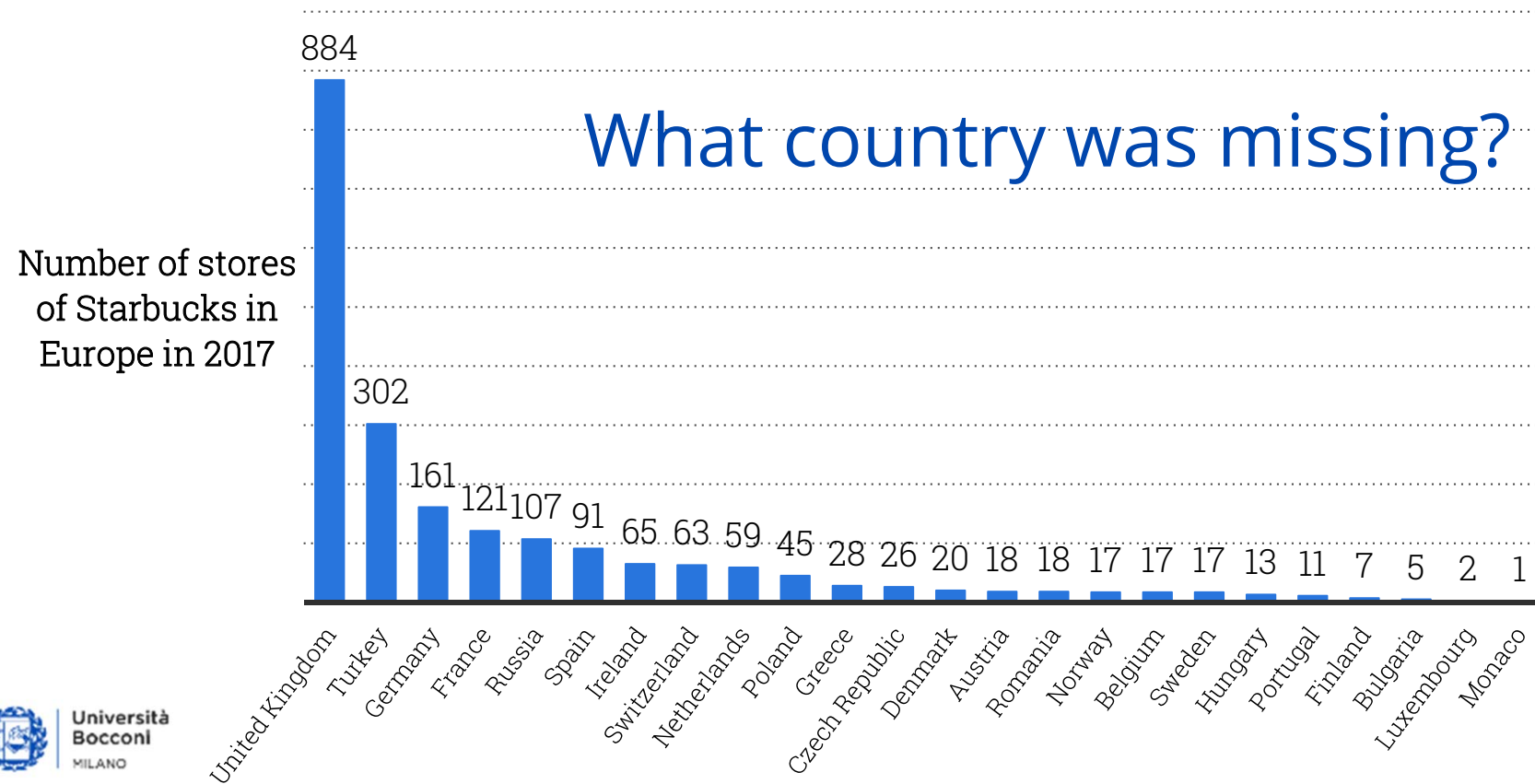
OPPORTUNITIES

- Its business model can be easily replicated to access new countries

But...

THREATS

- Exposition to rises in the cost of coffee and dairy products
- Trends towards healthier life style (reducing fat drinks and sweets)
- The US market is saturated, where almost 15,000 of Starbucks locations are located



Why not Italy?



Seattle, 1986. The first “Starbucks” restaurant.

Howard Schultz conceived Starbucks restaurants after a trip to Milan, where he discovered the Italian espresso bar.

“During my first trip to Milan in 1983, I was captivated by the sense of community I found in the city’s espresso bars... After Milan I flew back to the United States, excited to share what I experienced. But my bosses, the first founders of Starbucks, for whom I had tremendous respect, did not share my dream of re-creating the coffee bar experience in Seattle. I was crushed, but my belief was so powerful that, in April 1986, I left Starbucks and raised money from local investors to found my own retail coffee company. I named it **Il Giornale** after Milan’s daily newspaper.”

Starbucks was afraid it could fail in Italy

Forbes

Selling Italy to Italians



A Starbucks frappuccino casts a shadow over an espresso cup on a table ANASTASIA KHARCHENKO

- Very strong Italian coffee culture, with rituals and sophisticated habits
- Customers used to pay 1 € for their coffee dose
- Bars in Italy were everywhere and had loyal customers
- Many drank their coffee quickly and standing, not Starbucks' model
- Possible nationalistic animosity
- Failing in Italy was risky for Starbucks' global reputation



Should have Starbucks entered Italy?

Should have Starbucks entered Italy?

Let's apply our decision-making framework.

Actions \ Scenarios	???	
	???	???
Enter Italy	?	?
Not enter Italy	?	?

Should have Starbucks entered Italy?

Let's use the utility model and put appropriate numbers in the matrix.

Actions \ Scenarios	Scenarios	
	Italians love Starbucks	Italians hate Starbucks
Enter Italy	?	?
Not enter Italy	?	?

Should have Starbucks entered Italy?

What's the probability threshold for "Italians love Starbucks"?

Actions \ Scenarios	Scenarios	
	Italians love Starbucks	Italians hate Starbucks
Enter Italy	100	-200
Not enter Italy	0	0

Benefits of adding a new market,
probably not huge (most Italians will
continue to go to their bars)

Losses in Italy + potentially big
harm to the global reputation of
Starbucks

Should have Starbucks entered Italy?

Based on our analysis, Starbucks should have entered Italy if it believed that there was a greater probability than 67.7% that Italians would love its restaurants.

So, Starbucks needed:

- A theory of how Italians would react to Starbucks restaurants -> **which one?**
- To collect insight from experts -> **probably pessimistic**
- To run experiments with restaurants in Italy -> **how to run them?**

How RBV could help

VALUABLE



Were Starbucks' resources valuable in Italy?

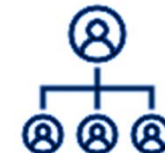
RARE



INIMITABILITY



ORGANIZATION



Was Starbucks able to effectively deploy and adapt its resources to Italy?

What Starbucks did

1. They worked on the **probability** of success by putting in a very high level of effort. They opened a big Starbucks Reserve Roastery in Milan, at the time only the third in the world after Seattle and Shanghai.

It was a flagship restaurant that had global advertising value even in case it was unprofitable. It could survive even if the other restaurants failed.



Milan, 2018. Starbucks Reserve Roastery.

What Starbucks did

2. They combined their **resources** with an Italian retail partner – Percassi Group – that had a long experience as a franchisee of big brands (Lego, Gucci, Ferrari, Nike, Wagamama, Zara, ...) and with its own chain (Kiko).

Percassi, which manages all Starbucks restaurants in Italy apart from the Roastery, had the knowledge of the Italian market and retail sector that Starbucks lacked.

Percassi also provided expert insight and had run its own “experiments” in the past with international brands.



Milan, 2018. Left to right: Antonio Percassi, Howard Schultz and Giuseppe Sala (mayor of Milan)

6.0

SUMMARY OF MAIN POINTS



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In summary

- Why and how internal firm differences are the root of competitive advantage
- Differentiate among a firm's core competencies, resources, capabilities, and activities
- Apply the VRIO Framework to assess the competitive advantage of a firm's resources.
- Apply a Value Chain Analysis
- Conduct a SWOT Analysis